

Code of Civil Procedure section 473.5 allows a party to bring a motion to set aside a default entered against the party where “service of a summons has not resulted in actual notice to a party in time to defend the action.” Code Civ. Proc. § 473.5(a). The motion “shall be accompanied by an affidavit showing under oath that the party’s lack of actual notice in time to defend the action was not caused by his or her avoidance of service or inexcusable neglect.” *Id.* § 473.5(b).

Independent of the validity of the service, Defendant has demonstrated a lack of actual notice in time to defend the action which was not caused by Defendant’s avoidance of service or inexcusable neglect.

4. Mistake, Inadvertence, Surprise, Or Excusable Neglect.

Under Code of Civil Procedure section 473(b), the Court may, in its discretion, relieve a party from a default judgment resulting from “his or her mistake, inadvertence, surprise, or excusable neglect.” Code Civ. Proc., § 473(b); *Rivercourt Co. Ltd. v. Dyna-Tel, Inc.* (1996) 41 Cal.App.4th 1477, 1480 (“*Rivercourt*”). A motion seeking relief under section 473 is addressed to the sound discretion of the trial court. *Rivercourt, supra*, 41 Cal.App.4th at 1480. Neither mistake, inadvertence, nor neglect will warrant relief unless upon consideration of all of the evidence it is found to be excusable. *Conway v. Municipal Court* (1980) 107 Cal.App.3d 1009, 1017. The party seeking relief under section 473(b) bears the burden of establishing that the mistake, inadvertence, surprise or neglect was excusable. *Id.*

The Court need not consider this separate ground for relief in light of the findings above.

Disposition

The Court finds and orders as follows:

1. For the reasons set forth above, the Motion to Set Aside Default is GRANTED.
2. The Default and Default Judgment are hereby VACATED and set aside.
3. The case is set for a status conference regarding service of process and the next steps in the case for **October 22, 2026 at 8:30 am in Department 34** of the Court. Plaintiff shall give notice of the status conference to Defendant.
4. The Court shall prepare the order after hearing.

11. 9:00 AM CASE NUMBER: C25-02471
CASE NAME: KRANTI KAPRE V. CLEAR RECON CORP
HEARING IN RE: DEMURRER TO THE FIRST AMENDED COMPLAINT
FILED BY: DEFENDANT CLEAR RECON CORP
TENTATIVE RULING:

Defendant Clear Recon Corp (“Defendant”) filed a Demurrer on February 17, 2026 (the “Demurrer”) to the First Amended Complaint (“FAC”) filed by plaintiff Kranti Kapre

("Plaintiff"). The Demurrer was set for hearing on June 29, 2026. At the hearing on June 29, 2026, the Court in its discretion continued the matter to July 13, 2026, without objection. Plaintiff's motion to continue is granted, and the hearing date of October 19, 2026 is vacated.

Background

Defendant's Demurrer contends that the first, second, third, and fourth causes of action all fail to state facts sufficient to constitute a cause of action. See Demurrer, pp. 1-2. The Declaration of Service attached to the Demurrer reflects service of the Demurrer on Plaintiff. See Declaration of Service filed February 17, 2026 as part of Demurrer, p. 1.

No opposition has been filed to the Demurrer.

Analysis

The limited role of the demurrer is to test the legal sufficiency of the allegations in a complaint. *Lewis v. Safeway, Inc.* (2015) 235 Cal.App.4th 385, 388. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading. *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994. A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. *Id.* For purposes of demurrer, all facts pleaded in a complaint are assumed to be true, but the court does not assume the truth of conclusions of law. *Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 967. "Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given." *Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227. However, leave to amend should not be granted where, in all probability, amendment would be futile. *Vaillette v. Fireman's Fund Ins. Co.* (1993) 18 Cal.App.4th 680, 685.

First Cause of Action (BREACH OF CONTRACT)

Defendant contends that the breach of contract claim does not state a cause of action because it does not allege the agreement and does not allege plaintiff's performance. See Memorandum of Points and Authorities filed February 17, 2026 ("MPA"), p. 4. The Court agrees.

The elements of a breach of contract claim are (1) the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to plaintiff. See *Tribeca Companies, LLC v. First American Title Ins. Co.* (2015) 239 Cal.App.4th 1088, 1109. Here, Plaintiff has alleged that "Defendant breached the mortgage servicing agreement by failing to accurately apply payments and calculate interest, causing financial harm." FAC filed December 15, 2025, ¶12. Although Plaintiff has referenced an agreement, to properly plead the existence of a contract, a plaintiff must either set forth all of its material terms or attach the written agreement as an exhibit. See *Gilmore v. Lycoming Fire Ins. Co.* (1880) 55 Cal. 123, 124; see also, *Harris v. Rudin, Richman & Appel* (1999) 74 Cal.App.4th 299, 307 ("If the action is based on alleged breach of a written contract, the terms must be set out verbatim in the body of

the complaint or a copy of the written agreement must be attached and incorporated by reference.”) As Plaintiff has not alleged at least the material terms of the contract, the pleading is insufficient. Additionally, Plaintiff has made no mention of their performance or excuse for nonperformance. See FAC, ¶¶8-12. As any factual allegations for this element are absent from the pleading, the first cause of action is insufficient for this reason as well.

The Demurrer as to this cause of action is SUSTAINED.

Second Cause of Action (VIOLATION OF RESPA/HBOR)

Defendant contends that the RESPA violation claim does not state a cause of action because they are a foreclosure trustee, and “[t]hat code section relates to duties of the mortgage servicer.” MPA, p. 4. Regarding the HBOR violation, Defendant contends that no facts are pleaded to support claims under Civil Code §§2924.11, 2924.12, 2924.17. The Court agrees as to the HBOR violation and sustains the demurrer as to the RESPA violation on different grounds.

Although Defendant contends that they are not a mortgage servicer, for the purposes of a demurrer, the facts pleaded in the complaint are taken as true. *Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 967. Here, Plaintiff has pleaded that the mortgage was serviced by Defendant. FAC, ¶8. As such, Defendant’s status as the mortgage servicer will be taken as true. If not true, there are other procedural mechanisms to challenge the pleaded claims, such as a motion for summary judgement.

Chapter X of Title 12 of the Code of Federal Regulations (CFR) includes section 1024.35 which imposes certain requirements and procedures relating to the resolution of asserted errors by a borrower regarding their mortgage loan account.

To claim a violation of 12 C.F.R. section 1024.35, “plaintiffs must allege facts to show that they gave the requisite notices and that defendants failed to properly respond.” *Aghaji v. Bank of America* (2016) 247 Cal.App.4th 1110, 1119; see 12 C.F.R. §§1024.35(a), (e). Here, Plaintiff’s pleading is insufficient, because it does not allege facts about the nature of the notice given by Plaintiff or Defendant’s failure to respond. See FAC, ¶13.

Civil Code section 2924.12 creates a cause of action for injunctive relief to enjoin material violations of sections 2924.11 and 2924.17, among others. Civil Code section 2924.11 pertains to foreclosure prevention alternatives, and Civil Code section 2924.17 pertains to the accuracy of documents relating to foreclosures. The FAC contains no allegations relating to foreclosure prevention alternatives. See FAC, ¶13. While the FAC does refer to errors generally, it does not specify if those errors are related to documents covered by Civil Code section 2924.17. See FAC, ¶13.

For these reasons, the Demurrer as to this cause of action is SUSTAINED.

Third Cause of Action (UNFAIR BUSINESS PRACTICES)

Defendant argues that the Unfair Business Practice claim does not state a cause of action because it treats Defendant as the mortgage servicer and because it relies on the

previous two counts. See MPA, p. 5. The Court agrees as to the latter.

As previously discussed, for the purposes of this demurrer, Plaintiff's allegation that Defendant serviced the loan is taken as true.

The statutory language of section 17200 establishes three distinct prongs of unfair competition; those that are unlawful, unfair, or fraudulent. See *Cal-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163, 180.

The allegation appears to rely solely on the unlawful prong of Business & Professions Code section 17200. The FAC references the misapplication of payments and failure to provide accurate records which would presumably fall under the breach of contract and statutory violations alleged in the first and second causes of action. FAC, ¶¶12-14. However, as these previous causes of action have not been sufficiently plead, this cause of action does not sufficiently allege an unlawful practice.

The Demurrer as to this cause of action is SUSTAINED.

Fourth Cause of Action (INJUNCTIVE RELIEF/ TEMPORARY RESTRAINING ORDER)

Defendant contends that this cause of action does not state a cause of action because neither injunctive relief nor a temporary restraining order are standalone causes of action.

Although the fourth cause of action is labeled "Injunctive Relief / Temporary Restraining Order" it includes a request for an accounting which is a cause of action. This "requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting." *Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179. Here, the Plaintiff has not plead facts that indicate the accounts are so complicated that other legal remedies are insufficient. FAC, ¶¶8-15; See *Civic Western Corp. v. Zila Industries Inc.* (1977) 66 Cal.App.3d 1, 14.

For this reason, the Demurrer as to this cause of action is SUSTAINED.

Disposition

The Court finds and orders as follows:

1. The Demurrer is SUSTAINED.
2. Leave to amend is GRANTED.
3. Moving party to submit proposed form of order.